OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Questions for Shoalhaven CEO on rates video that omits $280m road backlog

Sent 25 September 2026 · To Shoalhaven City Council · Response requested by 16 October 2026

25 September 2026 <>
Mr Andrew Constance

Chief Executive Officer, Shoalhaven City Council

By email
Open letter: your video "Ever wondered where your rates go?" — questions on content, framing and authority

Dear Mr Constance,

Council has published a video in which you set out what residents receive for their rates, closing with the words "I beg to differ … you do get value for your money."

Most of the activity figures you cite are real.

The difficulty is what the video counts as rates-funded, what it leaves out, and who is speaking for Council on a question of value for money.

What the video includes that rates do not pay for
· Shoalhaven Water, the waste transfer stations and Holiday Haven are presented as part of what rates deliver.

- **Water and sewer are funded by separate water and sewer charges (Water and Sewer Services, $92.7 million in 2024–25).**
- **Waste services are funded by waste management charges, which under s 496 of the Local Government Act 1993 may not exceed the reasonable cost of the service.**
- **Holiday Haven is a commercial undertaking. Including them in a video about rates gives residents an inflated picture of what their general rates buy.**

What the video leaves out
The video gives no dollar figure for any service. It does not mention:

- **the road renewal backlog of more than $280 million identified in Council's own 2025 Road Condition Report (133 km very poor, 95 km poor, 570 km needing resurfacing) — a figure you described publicly in April 2026 as evidence the system is "unsustainable";**

- that the aquatic centres and the Shoalhaven Entertainment Centre operate at a loss — about $4.6 million and $1.9 million a year respectively, according to Council's own 2023 SRV FAQs;
- the July 2024 reductions in pool seasons and library, leisure centre and waste depot hours, or the CISP 2056 proposal to consult on closing Milton Library;
- the NSW Audit Office's finding (Local Government 2024) that Shoalhaven had not met any of the three financial benchmarks for at least three years; or
- your own email of 16 September 2026 to community forum invitees referring to "significant financial pressures" and "difficult decisions".

A resident watching the video would not know any of this.

That is why I say it tells only part of the story.

Who speaks for Council on value for money
Section 226(c) of the Act makes the Mayor "the principal member and spokesperson of the governing body, including representing the views of the council as to its local priorities".

Section 335(a) gives the general manager the day-to-day management of the council. Describing services is operational.

Telling residents that the level of rates represents value for money is a judgement about Council's priorities and performance, and it comes at a time when Council has flagged the potential need for a future special rate variation.

Questions
1. On what date was the video first published, on which channels, and has any of it been promoted with paid advertising? If so, at what cost?

1. Who commissioned and approved the video, and what was its total cost, including staff time?

1. Was it produced under a resolution of Council, or as part of the "Let's Talk Finances" engagement or any special rate variation engagement program?

1. Why did you, rather than the Mayor or Acting Mayor, present a message on whether residents receive value for money for their rates? Was the Mayor or Acting Mayor consulted?

1. Why were Shoalhaven Water, waste services and Holiday Haven included in a video about rates, when they are funded by separate charges or operate commercially?

1. Why does the video contain no dollar figures? Will Council publish a breakdown of how a typical residential general rate is spent, service by service?

1. **Why were the $280 million road renewal backlog, the operating losses of the aquatic centres and Entertainment Centre, and the Audit Office benchmark findings left out?**

1. **What was the communication objective of the video, and why was it framed as a rebuttal ("I beg to differ") rather than as a balanced account of services, costs and pressures?**

1. **Was the script reviewed against Council's communications and media policies before release, and by whom?**

1. **What are the sources for the following figures:**

- **320,000 library visitors;**
- **27 individual pools;**
- **16,000 learn-to-swim classes;**
- **140,000 customer interactions (how many of these were complaints to staff);**
- **450 km of stormwater network;**
- **90 km of open drainage; and Shoalhaven Water as the "fourth largest water utility in New South Wales"?**

1. **You cite about 390 community and council buildings. Council's CISP 2056 counts 648 in-scope community facilities. Which figure is correct, and what explains the difference?**

1. **What surplus did Holiday Haven return in 2024–25, and where was it applied? Is any part of it restricted to Crown reserve purposes?**

1. **Will Council publish a companion video or statement setting out the costs, backlogs and pressures the current video omits?**

I would be grateful for a response within 14 days. Any response, or the absence of one, will be reported.

For transparency, I am copying this letter to 31 people and organisations across the Shoalhaven: 22 Accredited Community Forums and community associations, our state and federal members of parliament, a political party office, the United Services Union, the Council on the Ageing NSW, and four local journalists.

I do this so that everyone with an interest in how our Council works is looking at the same information at the same time. Each of them is free to follow up on these questions in whatever way they think is appropriate. I would welcome a response that I can share with all of them.Yours faithfully,

Steve Prothero
Eye on Shoalhaven Council

steveprothero.substack.com

Copy: All Shoalhaven City Councillors

Note to councillors receiving a copy of this letter:

The questions above are put to the CEO on the public record.

If you believe they warrant answers, you are in a position to raise them directly in the chamber — through a Question on Notice, a Notice of Motion, or a question in open council.

Questions 2, 3, 5 and 6 in particular go to how Council communicates with ratepayers about their rates, which is a matter for the governing body.

This publication will report whatever is raised and whatever is answered.
